

TSCO Pitch Deck

Rule One Investing — Stage 2

Company: Tractor Supply Company (TSCO)

Market Price: ~\$45.70 (March 2026)

Date: March 2026

Stage: 2 — Pitch Deck (Research)

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RULE ONE INVESTING — Pitch Deck

Company Name: Tractor Supply Company (TSCO) Market Price: ~\$45.70 (March 2026, post 5-for-1 split Dec 2024) Market Cap: \$24.03B P/E Ratio: ~22.2x 52-Week Range: \$42 - \$62 (post-split adjusted) Date: March 2026 Stage: 2 of 3 (Pitch Deck) Prerequisite: One Pager — CONDITIONAL PASS (March 2026)

(1) RADAR

1. How did you become aware of the company?

Three Circles and search. Tractor Supply is accessible to anyone who lives in rural or suburban America, owns pets, maintains property, gardens, or has any connection to the rural lifestyle. The company caught attention after a ~27% decline from its post-split all-time high of \$62.10 (Aug 2025) to ~\$45.70, combined with elite return-on-capital metrics (ROE 42.5%, ROIC 40.1%) and a fortress balance sheet.

2. List any Gurus currently invested in the company (Event)

No Rule One-approved Gurus (from the guru-list.md reference) were identified as holding significant TSCO positions. The top institutional holders are primarily index funds and large asset managers:

- Vanguard Group — Largest holder
- BlackRock — Major holder
- Wellington Management — 25,931,699 shares (~\$1.47B)
- Capital International Investors — Major holder

Notable recent activity:

- Vanguard Wellington Fund sold 1.4M shares (reduced by 13.18%)
- Capital Group Growth ETF bought 233,601 shares (+18.64%)
- Capital Group Dividend Growers ETF bought 110,583 shares (+41.9%)

No Guru-level conviction bets identified. This means our thesis must stand entirely on the business fundamentals — no Guru validation shortcut.

3. List Gurus who acquired more than 4% of their portfolio at current or higher stock price

None identified.

4. Is there an Event right now?

Yes — a mild event driven by earnings disappointment and market rotation.

The stock declined ~27% from its post-split ATH due to:

1. Q4 FY2025 earnings miss — Revenue \$3.90B (below \$4.01B consensus), EPS \$0.43 (missed \$0.46 estimate). Comp store sales grew only 0.3%.
2. Discretionary spending weakness — Management cited "a shift in consumer spending, with essential categories remaining resilient while discretionary demand moderated."
3. Market rotation — As the S&P 500 surged in 2025 (driven by AI stocks), TSCO underperformed, with investors rotating away from traditional retail.
4. Analyst estimate revisions — Multiple downgrades following weak guidance.

5. What specifically caused the business to go on sale?

The business is not broken. Revenue still grew 4.3% in FY2025 and guidance calls for 4-6% growth in FY2026. The "sale" is driven by:

- Tepid comparable store sales (+1.2% FY2025 vs. the 3-5% long-term target)
- Operating margin compression (9.5% FY2025, down 41 bps, below the 10.0-10.5% target)
- SG&A cost growth (6.6%) outpacing revenue growth (4.3%)
- Market multiple contraction as growth decelerated from COVID-era highs

This is a classic "wonderful company temporarily out of favor" pattern — the business continues to grow, the balance sheet is pristine, and there's a visible 8-year store expansion runway. The event is moderate in severity (27% decline, not 50%+).

(2) SIMPLE AND PREDICTABLE

1. In a simple statement, describe how this business makes money and why it's predictable

Tractor Supply is the largest rural lifestyle retailer in the United States. They sell livestock feed, pet food, hardware, tools, seasonal goods, work clothing, and farm/ranch supplies through 2,395 company-owned stores across 49 states. They also operate 207 Petsense by Tractor Supply pet specialty stores.

The business is predictable because:

- High consumable mix — Livestock feed, pet food, and other C.U.E. (consumable, usable, edible) products drive recurring repeat traffic. Customers come back weekly/monthly for feed and supplies.
- Stable customer base — Recreational farmers, ranchers, and rural homeowners have consistent needs regardless of economic cycles. Animals need to be fed regardless of GDP growth.
- 85+ years of continuous operation (founded 1938, IPO 1993)
- Revenue has grown every single year in the data set (2019-2025) with no declines

2. Explain the industry this business is in, is it simple for you?

TSCO operates in farm supply retail (SIC 5200). The US farm supply store industry is \$38.1B (IBISWorld, 2025) with approximately 19,485 stores. TSCO holds approximately 40% market share of this category with \$15.5B in revenue. The business is simple — they sell stuff to rural Americans through retail stores.

3. If this company is cyclical, briefly describe the cycle

Tractor Supply has some cyclical as a "consumer discretionary" company, but it is substantially cushioned by its consumable product mix:

- Non-cyclical categories (feed, pet food, fuel, fencing) represent the majority of sales and drive repeat traffic regardless of economic conditions
- Cyclical categories (big-ticket items, power equipment, seasonal goods) are more sensitive to consumer confidence
- Seasonality: Spring and summer are stronger quarters (gardening, outdoor, livestock). Q4 showed only 0.3% comps in FY2025.
- COVID impact: Revenue surged 27% in FY2020 as rural lifestyles boomed. Growth has normalized since.

4. Give a brief description of what specific problem this business solves for the customer

Tractor Supply is the one-stop shop for rural America. They solve the problem of access — rural customers who are 20-60 miles from the nearest Home Depot or Walmart need a local source for livestock feed, pet supplies, hardware, fencing, workwear, and seasonal goods. No other national retailer focuses exclusively on this customer. The problem is durable: animals will always need to be fed, land will always need to be maintained, and rural Americans will always need supplies.

(3) DOMINANT MARKET POSITION

1. Brief description of this company's dominance

Tractor Supply is the #1 rural lifestyle retailer in the United States with no close public competitor. At 2,395 stores across 49 states, they are approximately 20x larger than their nearest direct competitor (Rural King, ~120 stores). They hold ~40% market share of the \$38.1B farm supply retail market.

Store count (FY2025):

Banner	Stores	States
Tractor Supply	2,395	49
Petsense by Tractor Supply	207	23
TOTAL	**2,602**	—

Growth trajectory: +99 new TSC stores in FY2025, +100 planned for FY2026. Long-term target raised to 3,200 stores (from 3,000) at Dec 2024 Investor Day. That's ~800 more stores to open — roughly 8 years of runway at current pace.

2. R1 Moat Score

Management Score: 100. Moat score limited by data availability (only 7 years in data packet vs. 10 needed). Return metrics are exceptional.

3. What is the company's niche within their industry?

TSCO's niche is rural lifestyle retail — specifically serving recreational farmers, ranchers, hobby farmers, and rural/exurban homeowners. While Home Depot and Lowe's dominate suburban home improvement, TSCO dominates the rural counterpart with product categories they don't carry (livestock feed, animal health, fencing, horse tack, trailers).

TSCO is the only publicly traded pure-play rural lifestyle retailer. All direct competitors (Rural King, Blain's Farm & Fleet, Fleet Farm, Bomgaars, Atwoods) are private companies.

4. Briefly describe how they became dominant. Did they start small and build up?

Founded in 1938 as a mail-order tractor parts business, Tractor Supply evolved into a retail chain focused on serving the rural customer. They grew by:

- Systematically expanding into underserved rural markets where big-box retailers wouldn't go
- Building the Neighbor's Club loyalty program — now 41 million members driving 80%+ of revenue
- Developing a C.U.E. product strategy (consumable, usable, edible) that drives recurring traffic
- Achieving store-level economics that are 2x the nearest competitor in average store sales
- Maintaining a decentralized distribution network (10 distribution centers, 16 mixing centers)

5. Briefly describe some of the key competitors and how they compare

Competitor	Type	Scale	Notes
Home Depot	Big box home improvement	2,000+ stores, ~\$150B rev	Urban/suburban focus. Overlaps on tools/hardware but not feed/livestock.
Lowe's	Big box home improvement	1,700+ stores, ~\$80B rev	Similar overlap to HD. Not rural-focused.
Rural King	Direct rural competitor	~120 stores	Most direct peer. Private. Much smaller scale.
Blain's Farm & Fleet	Regional farm/ranch	~45 stores	Midwest only. Private.
Fleet Farm	Regional farm/ranch	~50 stores	Upper Midwest only. Private.
Ace Hardware	Hardware cooperative	5,000+ stores	Independently owned. Some rural overlap. Smaller format.
Bomgaars	Regional farm/ranch	~100 stores	Great Plains only. Private.

Key insight: TSCO's direct competitors are all private, regional, and dramatically smaller. The real competitive question isn't "who can take their market share?" — it's "can Home Depot/Lowe's/Amazon encroach on the rural niche?" So far the answer has been no, because these competitors lack the product assortment (feed, livestock, animal health) and store format for rural customers.

(4) LARGE BARRIER TO ENTRY AND MOATS

1. Describe the barriers to entry that prevent competitors from entering the niche

- Distribution infrastructure — 10 distribution centers + 16 mixing centers handling 8.5B+ pounds of product. This network is purpose-built for delivering feed, fencing, and heavy goods to rural locations.
- Store count scale — 2,395 stores across 49 states. A new entrant would need billions in capital to approach this coverage.
- Rural real estate expertise — TSCO has decades of experience selecting locations in low-density markets. They're now repurposing vacant big-box retail spaces for new stores, reducing build-out costs.
- Vendor relationships — 85+ years of supplier relationships across agriculture, pet, and hardware categories.

2. Describe their Moat and explain why this moat is intrinsic to this company

TSCO has three moat types:

1. Brand Moat — Tractor Supply is synonymous with rural retail. 85+ years of heritage. The brand name itself tells the customer exactly what to expect. In rural communities, TSC is often the most recognizable retail brand after Walmart.
2. Switching Costs / Network Moat — The Neighbor's Club loyalty program has 41 million members and drives 80%+ of total revenue. This is an extraordinarily high loyalty engagement rate. Members earn points on purchases, get exclusive deals, and receive personalized recommendations. Once enrolled, customers are incentivized to consolidate spending at TSC. This is a genuine switching cost.
3. Price Advantage / Scale Moat — TSCO's average store-level sales are 2x the nearest competitor. Their 2,395-store distribution network gives them purchasing power and logistics efficiency that no regional competitor can match. This translates to competitive pricing while maintaining healthy margins.

3. Has the Moat changed over time, if so, how?

The moat has strengthened over time:

- Neighbor's Club grew from launch to 41 million members — this is an ever-deepening switching cost
- Store count grew from ~1,700 (2015) to 2,395 (2025) — widening the scale advantage
- Distribution network expanded from 7 to 10 DCs — improving logistics efficiency
- E-commerce surpassed \$1B in sales in FY2024 — adding an omnichannel dimension
- Allivet acquisition (Dec 2024) — online pet pharmacy expanding into the \$15B pet wellness market, adding a new stickiness vector

4. Why can't the competition overtake them, what is the company's edge?

No competitor has the combination of national scale, rural-specific product assortment, and loyalty data that TSCO possesses. Specifically:

- Home Depot/Lowe's serve suburban customers and lack feed/livestock categories

- Rural King/Fleet Farm are regional and 1/20th the store count
- Amazon can't efficiently deliver 50-lb bags of horse feed to rural addresses
- New entrants face a chicken-and-egg problem: you need distribution infrastructure to serve rural areas, but you need store volume to justify building it

5. Does the future of the Moat look good, has it been attacked in the past, how did it perform?

The moat has not been seriously attacked. If anything, COVID accelerated TSCO's advantage by driving rural migration and pet adoption, both of which expanded the customer base.

The DEI controversy (2024) is worth noting: TSCO reversed DEI policies after conservative customer backlash, which actually strengthened customer loyalty among its core rural demographic. The company navigated this social risk adeptly by aligning with its customer base.

6. Does the company appear to be anti-fragile?

Yes. TSCO demonstrated anti-fragility during multiple disruptions:

- 2008 financial crisis: Revenue grew from \$2.7B (2008) to \$3.2B (2009) — customers still needed feed and supplies
- COVID-19 (2020): Revenue surged 27% (\$8.4B to \$10.6B) as rural lifestyles boomed. Deemed "essential business."
- 2022-2025 inflation/slowdown: Revenue continued growing from \$14.2B to \$15.5B despite consumer pullback in discretionary categories

The C.U.E. product mix (consumable, usable, edible) makes this business inherently resilient. Animals need to be fed regardless of economic conditions.

Morningstar rates TSCO as a "Narrow Moat" with a potential path to wide moat via scale. This aligns with our assessment — the moat is real (brand + loyalty + scale) but not yet as wide as companies like Costco or Apple.

Anti-fragile assessment: PASS

(5) FREE CASH FLOW GENERATIVE

1. What is the FCF ratio for the last 7 years? (Ratio = FCF / Earnings)

Year	FCF (\$M)	Net Income (\$M)	FCF Ratio	CapEx (\$M)	CapEx/OCF
2019	594	562	1.06	217	26.8%
2020	1,101	749	1.47	294	21.1%
2021	510	997	0.51	628	55.2%
2022	584	1,089	0.54	773	57.0%
2023	580	1,107	0.52	754	56.5%
2024	637	1,101	0.58	784	55.2%
2025	740	1,096	0.68	895	54.7%

Average FCF Ratio (7-year): 0.77 Average FCF Ratio (excluding 2020 COVID outlier): 0.65

The FCF ratio is below the 1.0 benchmark for most years (2021-2025). This is because TSCO has been in a heavy CapEx cycle — building new stores (~100/year), distribution centers, and mixing centers. CapEx as a % of operating cash flow has been consistently ~55% since 2021.

This is a yellow flag but not a red flag. The elevated CapEx is primarily growth CapEx (new stores, new DCs) rather than maintenance CapEx. TSCO is actively building out its 3,200-store target. Once store openings slow, FCF should improve significantly.

FCF is positive every year and trending upward: \$510M → \$740M (2021-2025). CONDITIONAL PASS.

How is Tractor Supply using its FCF?

- Dividends: TSCO pays a quarterly dividend (current yield ~2.0%). They have increased the dividend for 15+ consecutive years. This is a "Dividend Aristocrat" candidate.
- Share buybacks: Active buyback program. Shares outstanding declined from ~118M to ~108M (pre-split) over 2019-2023, representing ~8.5% reduction.
- Reinvestment: Heavy store buildout (~100 new stores/year), distribution center expansion, Allivet acquisition.

(6) MANAGEMENT IS TALENTED AND HAS INTEGRITY

1. Describe the CEO's history, track record, and goals

Hal Lawton has been CEO since January 2020. Born 1974 in Kingsport, Tennessee. BS in Chemical Engineering from NC State, MBA from UVA Darden.

Before Tractor Supply:

- McKinsey & Co. (2000-2005) — rose to Associate Principal
- Home Depot (2005-2015) — 10 years, held multiple roles including President Online and SVP Merchandising
- SVP at eBay North America (2015-2017)
- President of Macy's (2017-2019)

Lawton joined TSCO just before COVID hit. Under his leadership:

- Revenue grew from \$8.4B (FY2019) to \$15.5B (FY2025) — nearly doubled (~13% CAGR)
- Launched the "Life Out Here 2030" strategy with clear targets (6-8% annual revenue growth, 3-5% comps, 10.0-10.5% operating margin)
- Completed the Allivet acquisition (pet pharmacy) expanding TAM by \$15B
- Completed the Orscheln Farm acquisition (81 stores) in 2022
- Raised the long-term store target from 3,000 to 3,200
- Expanded Neighbor's Club to 41 million members
- Led the company through COVID as an "essential business"
- Executed the 5-for-1 stock split (Dec 2024) — 5th split in company history

2. Is the CEO talented at allocating capital?

Metric	2019	2020	2021	2022	2023	2024	2025
ROE	35.9%	38.9%	49.8%	53.3%	51.5%	48.5%	42.5%
ROIC	32.7%	36.1%	46.3%	49.7%	48.1%	45.5%	40.1%
ROA	10.6%	10.6%	12.8%	12.8%	12.1%	11.2%	10.0%

ROE and ROIC are elite — consistently above 35%, peaking above 50%. The company pays dividends AND buys back shares while maintaining negligible debt. This is outstanding capital allocation for a retailer.

R1 Management Score: 100

3. Explain why we should trust the CEO to behave with integrity

- Lawton set clear, measurable targets through "Life Out Here 2030" — transparent goal-setting
- The company has increased dividends for 15+ consecutive years — shareholder-friendly discipline
- Navigated the DEI controversy (2024) decisively by aligning with the core customer base

- 14 years at Home Depot provides deep retail operations experience
- Revenue has nearly doubled under his tenure

4. Describe the CEO's stock ownership position

Hal Lawton holds approximately 608,973 shares (~\$27.8M at current prices). Total insider ownership is ~0.95% of shares outstanding.

This is a yellow flag for Rule One. Sub-1% insider ownership means management does not have massive personal skin in the game relative to the company's \$24B market cap. However, \$27.8M is still a meaningful personal investment — just not in the "50%+ of net worth" tier we saw with LULU's former CEO.

5. Highlight if management insiders are buying or selling

Pattern: Net selling. Zero insider purchases in the last 12+ months.

Date	Insider	Action	Value
Feb 2026	Hal Lawton (CEO)	Sold 84,670 shares	\$4.5M
Feb 2025	Hal Lawton (CEO)	Sold ~103,000 shares	~\$5.6M
2025	Matt Rubin (SVP) + Kurt Barton (CFO)	Sold 78,000+ shares	\$5.1M+

Most sales are through pre-arranged Rule 10b5-1 plans (compensation-related). However, the complete absence of open-market insider buying during the stock's 27% decline is a negative signal. No insider is voluntarily putting additional personal capital into the stock.

6. What is the CEO's reputation on employee review sites?

Platform	Metric	Rating
Glassdoor	Overall company	3.5 / 5.0 (4,126 reviews)
Glassdoor	CEO Approval (Hal Lawton)	69% (company-wide), 82% (Nashville HQ)
Glassdoor	Recommend to Friend	58%
Comparably	Leadership Rating	C- (bottom 30%)
Comparably	Executive Team	Bottom 35% of similar-size companies

Assessment: Mixed. The Glassdoor 3.5/5 is middling for retail (contrast with LULU's former CEO at 96% approval). The Comparably C- leadership score suggests a disconnect between HQ strategy and frontline store execution. Common complaints: low pay, scheduling inconsistency. Common praise: good coworkers, community feel. This is typical for a large retail chain but not inspiring.

Management Assessment: CONDITIONAL PASS — Strong strategic execution (revenue nearly doubled), excellent capital allocation (dividends + buybacks + low debt), but below-average insider ownership (<1%) and middling employee sentiment.

(7) ROE / ROIC / ROA & DEBT

1. Explain how the ROE, ROIC, and ROA have trended over the last 7 years and why

Year	ROE	ROIC	ROA	Net Income (\$M)	Equity (\$M)	LT Debt (\$M)
2019	35.9%	32.7%	10.6%	562	1,567	150
2020	38.9%	36.1%	10.6%	749	1,924	150
2021	49.8%	46.3%	12.8%	997	2,003	150
2022	53.3%	49.7%	12.8%	1,089	2,042	150
2023	51.5%	48.1%	12.1%	1,107	2,150	150
2024	48.5%	45.5%	11.2%	1,101	2,270	150
2025	42.5%	40.1%	10.0%	1,096	2,581	150

Key observations:

- ROE and ROIC have been exceptionally high for a retailer (35-53%) — world-class capital efficiency
- The slight divergence between ROE and ROIC (e.g., 42.5% vs 40.1% in 2025) is due to the small \$150M in LT debt — this is negligible distortion
- Returns peaked in FY2022 (53.3% ROE) and have gradually declined as earnings plateaued while equity continued growing
- ROA peaked at 12.8% and has declined to 10.0% — still above the 10% threshold but trending down
- Long-term debt has been exactly \$150M for 7 consecutive years — no incremental borrowing whatsoever

2. Are returns being manipulated by debt?

No. ROE and ROIC are nearly identical because total long-term debt is only \$150M against \$2.6B in equity. Debt is functionally irrelevant to the return profile. These are genuine operating returns, not financial engineering.

Returns assessment: PASS — elite returns with negligible debt, though trending downward from peaks

(8) STRONG BALANCE SHEET

1. Has the balance sheet improved or degraded under the current management? What is the Current Ratio?

Metric	2019	2020	2021	2022	2023	2024	2025
Total Assets (\$M)	5,289	7,049	7,767	8,490	9,188	9,805	10,934
Equity (\$M)	1,567	1,924	2,003	2,042	2,150	2,270	2,581
Current Ratio	1.43	1.87	1.57	1.33	1.50	1.43	1.34
LT Debt (\$M)	150	150	150	150	150	150	150
Cash (\$M)	84	1,342	878	203	397	251	194
Net Debt (\$M)	66	0	0	0	0	0	0

Key findings:

- Equity has grown from \$1,567M to \$2,581M (65% increase, ~7.4% CAGR) under Lawton's tenure — positive but below the 10% benchmark
- Long-term debt has been \$150M for 7 straight years — essentially zero incremental borrowing. Debt/Earnings ratio is 0.14 years. Completely irrelevant to financial health.
- Cash fluctuates but net debt position is \$0 for 6 of 7 years — the company is functionally debt-free
- Current ratio is adequate at 1.34 but below the ideal 2:1. This is typical for retailers with high inventory turnover. Not a concern given the fortress debt position.
- Total assets have more than doubled (5.3B to 10.9B) due to new store builds, DCs, and lease assets

Balance Sheet Assessment: PASS — negligible debt, growing equity, strong solvency

(9) LIMITED EXPOSURE TO P.E.S.T RISKS

1. Consider the impact on this company from the following macro risks:

POLITICAL: Tariffs and trade policy.

TSCO sources a significant portion of merchandise from overseas manufacturers. Tariffs on Chinese goods and other trade disruptions could increase product costs.

Rebuttal: TSCO sells primarily in the US to US customers. Much of the product mix (livestock feed, hay, local seasonal goods) is domestically sourced. The company has historically managed tariff exposure through vendor negotiations and selective price increases. As a low-cost rural retailer, modest price increases are absorbed by the customer base. The DEI reversal (2024) also showed management's willingness to align politically with its core customer base, reducing social-political risk.

Political risk: LOW

ECONOMIC: Farm income pressure and consumer discretionary weakness.

Average farm prices are projected to decline in 2025-2026, putting pressure on agricultural producer customers. Big-ticket discretionary spending is softening (power equipment, trailers). SG&A costs are growing faster than revenue.

Rebuttal: TSCO's product mix is weighted toward consumables (feed, pet food) that are purchased regardless of economic conditions. The company's rural customer base has historically been more resilient than urban/suburban consumers during downturns. During the 2008 recession, TSCO's revenue grew. The FY2026 guidance of 4-6% revenue growth, while modest, is still positive growth during a challenging consumer environment.

Economic risk: MEDIUM — the discretionary categories are under pressure, but consumables provide a floor

SOCIAL: Rural demographic trends and pet humanization.

The rural migration trend (people moving from urban to suburban/exurban/rural areas) is a tailwind. Pet humanization (spending on pets as family members) is a secular growth driver. The Neighbor's Club loyalty program (41M members) creates deep community ties.

Rebuttal: No significant social risks identified. The customer base is stable and growing. The DEI reversal in 2024 initially caused controversy but was well-received by the core customer demographic. Pet spending is growing at ~7% annually with no signs of reversal.

Social risk: LOW — tailwinds dominate

TECHNOLOGY: E-commerce competition and digital transformation.

Amazon and other e-commerce players could theoretically disrupt rural retail. TSCO must continue investing in omnichannel capabilities (buy-online-pick-up-in-store, final mile delivery).

Rebuttal: TSCO surpassed \$1B in e-commerce sales in FY2024. They are expanding "final mile delivery" to 150 hubs by 2026 (covering 25% of stores). The physical nature of their core products (50-lb feed bags, fencing, power equipment) creates a natural barrier to pure e-commerce disruption. Amazon's "last mile" is expensive in low-density rural areas. TSCO's stores ARE the last-mile solution for rural America.

Technology risk: LOW — e-commerce is a complement, not a threat

2. What can make this company go off the rails?

- Revenue growth permanently drops below 3%, turning it into a low-growth yield play that can't justify its P/E
- Operating margins continue compressing below 9% as SG&A costs outpace revenue
- The 3,200-store target proves overambitious — market saturation in rural America
- A well-funded competitor (e.g., Home Depot launching a "Rural" format) enters the niche
- Prolonged agricultural downturn crushes the core customer's discretionary spending
- The Neighbor's Club loyalty program loses engagement

PEST Assessment: PASS — risks exist but are manageable. No existential threats. The biggest risk is the gradual maturation of growth, not a catastrophic failure.

(10) VALUATION

1. Explain why this industry will be going strong in 10 years

Farm supply retail market:

- US farm supply stores: \$38.1B (2025), growing at 3.9% CAGR (IBISWorld)
- TSCO's self-defined TAM: \$225B (expanded from \$180B after Allivet acquisition), including farm/ranch + pet + outdoor living + home improvement in rural areas

Pet care market:

- US pet care: ~\$150B (2025), approaching \$200B by 2030 (Morgan Stanley)
- Global pet supplies: \$248.7B (2025) → \$369.9B by 2030 (8.26% CAGR)
- Pet ownership: 82 million US households, spending growing ~7%/yr

Secular tailwinds:

- Rural/exurban migration continues (urbanization reversal trend)
- Pet humanization is accelerating
- Aging homeowner population maintains property spending
- No realistic alternative to physical retail for feed, fencing, and heavy goods in rural areas

2. Explain why this company will be going strong in 10 years

- Visible store growth runway: 805 stores to reach 3,200 target (~8 years at 100/year)
- Neighbor's Club: 41M members driving 80%+ of revenue — massive loyalty/data asset
- Pet wellness expansion: Allivet acquisition unlocks \$15B TAM in pet pharmacy/prescriptions
- "Life Out Here 2030" strategy: Clear roadmap for 6-8% annual revenue growth
- Supply chain investments: 10 DCs + 16 mixing centers, 11th DC planned for 2026
- No public competitor: The only publicly traded pure-play in rural retail
- Domestic focus: While this limits TAM ceiling, it also means focused execution
- Anti-fragile: Grew through 2008, COVID, and current slowdown

3. What adjustments, if any, did you make to the valuation based on backtesting results?

Key adjustments:

- Used conservative FGR of 8% (below company's 6-8% revenue growth target, accounting for earnings growth lagging revenue)
- Used pre-split equivalent figures for per-share calculations (dividing total figures by 527M post-split shares)
- Maintenance CapEx estimated at 50% of total (TSCO is in heavy growth CapEx mode — new stores, DCs)
- EPS uses 3-year average of FY2023-2025 post-split figures

4. What are the buy prices and what are the assumptions?

Future Growth Rate (FGR) Derivation

Perspective	Value	Notes
Rear View Mirror	7.9%	5-year revenue CAGR. Earnings CAGR also 7.9%.
Market Relativity	~7.5%	S&P 500 long-term real CAGR. TSCO should at least match.
Company Guidance	6-8%	"Life Out Here 2030" annual revenue growth target
Sector/Industry	3.9%	Farm supply store CAGR (IBISWorld). Pet sector 7-8%.
Analysts	~6.3%	Consensus revenue growth rate

Average of quantifiable inputs: $(7.9 + 7.5 + 7.0 + 3.9 + 6.3) / 5 = 6.5\%$

Conservative FGR: 8% — slightly above the average but aligned with company guidance. The store expansion runway (800+ stores), pet wellness growth (Allivet), and Neighbor's Club data monetization support this rate.

Rule of 72 spot check: At 8% FGR, revenue doubles every 9 years. In 10 years, revenue would be $\sim \$15.5B \times (1.08)^{10} = \sim \$33.5B$. Against a \$225B self-defined TAM, this implies ~15% market share (currently ~7%). Against the narrower \$38.1B farm supply market, it would require industry growth. At 3.9% industry CAGR, the farm market would be $\sim \$56B$ in 10 years — \$33.5B would be ~60% share. This is aggressive for the narrow market. But TSCO's TAM expansion into pet, outdoor living, and B2B makes it more reasonable. The 8% FGR is achievable but not conservative.

Alternative conservative FGR: 6% — used for sensitivity analysis.

MOS (Margin of Safety) Valuation

Input	Value	Rationale
FGR	8%	Conservative company guidance midpoint
EPS (post-split)	\$2.08 (3yr avg: \$10.15, \$2.05, \$2.07 → avg pre/post-split normalized to \$2.08)	Smooths volatility
Future P/E	16 (2×8 FGR)	Conservative — TSCO has historically traded at 20-25x
MARR	15%	Rule One standard

Calculation:

- Future EPS = $\$2.08 \times (1.08)^{10} = \$2.08 \times 2.159 = \$4.49$
- Future Price = $\$4.49 \times 16 = \71.84
- Sticker Price = $\$71.84 / (1.15)^{10} = \$71.84 / 4.046 = \$17.76$
- MOS Buy Price = $\$17.76 \times 50\% = \8.88

This MOS price is very low because TSCO's growth rate (8%) produces a modest Future P/E (16), and the 15% MARR discount is aggressive. MOS works best for higher-growth companies.

PBT (Payback Time) Valuation

Input	Value	Rationale
FGR	8%	Conservative
FCF Ratio	0.65	Avg excluding 2020 COVID outlier
FCF per share	\$1.35	EPS (\$2.08) × FCF Ratio (0.65)

8-Year Cumulative FCF: \$1.35 compounded at 8% for 8 years = \$14.34 cumulative

PBT Buy Price = \$14.34

At current price of \$45.70, payback time is well beyond 8 years (~25+ years). PBT does NOT signal a buy at current price. This reflects TSCO's lower FCF ratio during its growth CapEx phase.

Ten Cap Valuation

Input	Value	Rationale
Cash from Operations	\$1,635M	FY2025
Total CapEx	\$895M	FY2025
Maintenance CapEx %	50%	Growth-phase company opening 100 stores/yr
Maintenance CapEx	\$447.5M	\$895M × 50%
Tax Provision	\$302M	FY2025
Shares Outstanding	527M	FY2025 (post-split)

Calculation:

- Owner Earnings = \$1,635 - \$447.5 + \$302 = \$1,489.5M
- OE per share = \$1,489.5M / 527M = \$2.83
- Ten Cap Price = \$2.83 × 10 = \$28.26

At 70% maintenance (conservative): OE = \$1,635 - \$626.5 + \$302 = \$1,310.5M → \$2.49/share → Ten Cap = \$24.87

Equity Bond Valuation

Input	Value	Rationale
Current BVPS	\$4.90	FY2025 (post-split)
Historical ROE	30% (conservative)	Actual 7yr avg ~46%, using 30% for mean-reversion
Retained Earnings Ratio	60%	TSCO pays ~40% of earnings as dividends
Historical Avg P/E	22	Conservative — TSCO has traded 20-30x
MARR	20%	Equity Bond standard
MOS%	50%	Standard

Calculation:

1. Equity Growth Rate = $30\% \times 60\% = 18\%$
2. Future BVPS = $\$4.90 \times (1.18)^{10} = \$4.90 \times 5.234 = \$25.65$
3. Future EPS = $\$25.65 \times 30\% = \7.69
4. Future Price = $\$7.69 \times 22 = \169.27
5. Projected CAGR at \$45.70 = $(\$169.27 / \$45.70)^{(1/10)} - 1 = 14.0\%$ (just below 15% hurdle)
6. Sticker Price = $\$169.27 / (1.20)^{10} = \$169.27 / 6.192 = \$27.34$
7. Equity Bond Buy Price = $\$27.34 \times 50\% = \13.67

Valuation Summary & Sensitivity Tables

Primary Valuation Results

Method	Buy Price	Current Price	Signal
MOS	**\$8.88**	\$45.70	No buy
PBT	**\$14.34**	\$45.70	No buy
Ten Cap (50% maint)	**\$28.26**	\$45.70	No buy
Equity Bond	**\$13.67**	\$45.70	No buy

Ten Cap Sensitivity

Maintenance %	Ten Cap Price
40%	\$30.82
50%	\$28.26
70%	\$24.87

MOS Sensitivity

	6% FGR	8% FGR	10% FGR
MOS Buy Price	\$6.31	\$8.88	\$12.27

Key Valuation Insight

At ~\$45.70, TSCO is NOT in the Rule One buy zone. All four valuation methods produce buy prices well below the current market price. The stock is trading at ~22x earnings, which implies the market expects ~11% growth ($P/E \approx 2 \times \text{growth rate}$). But TSCO's actual growth is 4-8%, making the current multiple rich relative to Rule One standards.

However, this is a high-quality compounder trading at a reasonable (not cheap) valuation. The 14% projected CAGR from the Equity Bond method is close to the 15% hurdle. The disconnect between market price and Rule One buy prices reflects

the "wonderful company at a fair price" scenario — not a "wonderful company on sale" scenario.

For Rule One entry, the stock would need to decline to ~\$25-30 (roughly another 35-45% from current levels) to enter the buy zone. This would likely require a deeper recession, sustained negative comps, or a broader market sell-off.

CONCLUSION

1. Explain how this business matches our personal and business values

Tractor Supply serves the backbone of rural America — farmers, ranchers, pet owners, and homesteaders. The company provides essential supplies to communities that are often underserved by big-box retail. Their 85-year heritage, employee-centric culture, and community focus align with long-term thinking and tangible value creation.

2. Explain why we should be proud to own this business

This is a company with elite ROE (42.5%), negligible debt (\$150M unchanged for 7 years), 15+ years of consecutive dividend increases, and a dominant market position with no public competitor. The management team has nearly doubled revenue since 2019 while maintaining a fortress balance sheet. There is nothing financially questionable about this company.

3. Summarize 'why/why not' this company should be considered as an addition to our portfolio

Why (Bull Case):

- #1 rural lifestyle retailer with 40% market share, 20x larger than nearest competitor
- Elite capital allocation: ROE 42.5%, ROIC 40.1%, negligible debt
- Visible growth runway: 800+ stores to 3,200 target (~8 years)
- 41M Neighbor's Club members driving 80%+ of revenue — massive loyalty moat
- Anti-fragile: grew through 2008, COVID, and current slowdown
- Expanding TAM: Allivet acquisition adds \$15B pet wellness market
- Dividend aristocrat candidate (15+ years of increases)
- Only publicly traded pure-play in the niche

Why Not (Bear Case):

- Growth has decelerated: revenue CAGR 7.9% (5yr) → 3.0% (3yr) → 4.3% (1yr)
- Earnings are essentially flat: \$1,089M (2022) → \$1,096M (2025) — 3 years of no earnings growth
- Operating margins compressing: 10.3% (2021) → 9.5% (2025)
- FCF ratio below 1.0 due to heavy growth CapEx
- No international optionality — US only
- Valuation is not cheap: P/E of 22x with 4-8% growth is a fair-to-rich multiple
- Not in the Rule One buy zone — all four methods indicate the stock needs to drop 35-45% more

Final Conviction Checkpoint

Question	Answer
**Understa..	Yes — sells farm/ranch/pet supplies to rural Americans through retail stores. Very simple.
**Moat Str..	Yes — Brand + Switching Costs (41M loyalty members) + Scale advantage. No public competitor.
**Growth ..	Moderate. Visible store runway but single-digit growth. This is a steady compounder, not a high-growth stock.
**Manage..	Yes — Hal Lawton has nearly doubled revenue, maintains negligible debt, 15+ years of dividend increases.
**Valuatio..	No — at \$45.70, the stock is ~60-80% above all four Rule One buy prices. Fair value, not on sale.
**Anti-Fra..	Yes — demonstrated resilience through 2008, COVID, and current headwinds. Consumable mix protects the floor.
Add to ..	**Yes — but wait for a deeper discount. TSCO is a wonderful company at a fair price, not a wonderful company on sale. Add to watchlist and monitor..

Data sources: TSCO-datapacket.json and TSCO-enriched-datapacket.json (EDGAR XBRL). Current price/market data from StockAnalysis.com, Nasdaq (March 2026). Industry data from IBISWorld (\$38.1B farm supply market). Store targets and strategy from Tractor Supply "Life Out Here 2030" Investor Day (Dec 2024). Pet market data from Morgan Stanley, Mordor Intelligence. Analyst consensus from MarketBeat, TipRanks (22 analysts, Moderate Buy, avg target \$59.78). Competitor data from Owlser, PitchGrade. Neighbor's Club data from Retail Dive. Stock split confirmed from Investing.com, TipRanks (5-for-1, Dec 2024). Earnings from Tractor Supply Q4/FY2025 press release (Jan 29, 2026).

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